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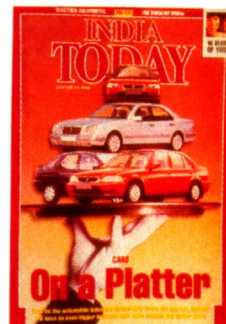
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Growing up in India, the dominant image I remember on our roads was the Tata truck, along with the eponymous sign on the rear: 'OK, Tata.' For decades, Tata's presence in the auto market was through trucks and later, through clunky jeeps and wagons that prevented it from being a major player in the industry. Although the group has been in car manufacturing for the last 14 years, it is this week that industrialist Ratan Tata shook the auto world by launching his ultra secret Rs 1-lakh car that has been the centre of global attention and debate. It is slated to be the cheapest car in the world and has the potential to create a second car revolution in India when it hits the road nine months down the line. It will bring in a whole new set of car-buyers in the market just as the Maruti 800 did in 1983.

Globally, rising oil prices which hit \$100 a barrel last week, and emission scares have made the race to build small, fuel-efficient, low-cost cars the focus of auto majors. Ratan Tata has shown once again that India has the potential and the talent to take on the world. No wonder the automotive giants are beating a path to India. Besides the booming domestic market, there is the attraction of India becoming an auto-engineering hub with its lower costs and technical skills. This activity has the potential of reaching a turnover of \$145 billion (Rs 5,80,000 crore) by 2016.

Our cover story this issue looks at the inside story behind the design, manufacture and market strategy of Tata's ultra-secret small car project, how Tata Motors managed to keep the costs down, the market potential and the challenges that it faces.



Our Jan '98 cover

Ratan Tata sounded quite optimistic about the prospects of his pet project in an exclusive interview to Managing Editor Shankkar Aiyar a day before the launch. But there are quite a few in the industry who predict problems ahead for the project as well as its impact on infrastructure and environment once it hits the Indian roads in large numbers. Senior Editor Malini Bhupta also looks at the spurt of alliances between Indian companies and global giants that signals the emergence of India as a global manufacturing hub for vehicles and auto components.

Like many Indians, I too have spent over two decades being rattled around in an Ambassador or Padmini Fiat which were the only Indian-manufactured cars available till Maruti Suzuki launched its 800 and started the first car revolution in India. Now there are 45 models with multiple variants that India manufactures. At the Auto Expo alone this week, over 60 new models will be announced. The editor of our soon-to-be-launched auto-magazine, Yogendra Pratap, who obviously is a car-buff, assesses these new launches for you. Happy Driving!

Aroon Purie

(Aroon Purie)